3. The total wattage of the elements in a water heater with a lower element and an upper element may not exceed the specific wattages above unless the water heater has interlocking thermostats to prevent simultaneous operation of the two elements such that the maximum wattage is not exceeded during operation.

CATEGORY 3 is applicable for residences which meet the following thermal conditioning requirements:

1. Ceilings shall have insulation installed having a thermal resistance value of 30 (R-30).
2. Walls exposed to full temperature differential (TD) or unconditioned area shall have a total resistance of R-12.
3. Floors over crawl space shall have insulation installed having a resistance of R-19.
4. Windows shall be insulated glass or storm windows.
5. Doors exposed to full TD shall be weatherstripped and equipped with storm doors or of the insulated type. Other doors exposed to unconditioned areas must be weatherstripped.
6. Air ducts located outside of conditioned space must have: 1) all joints mechanically fastened and sealed, and 2) a minimum of 2 inches of R-6.5 duct wrap insulation, or its equivalent.
7. Attic ventilation must be a minimum of one square foot of free area for each 150 square feet of attic area. Mechanical ventilation or ceiling vapor barrier in lieu of free area, may be used where necessary, subject to special approval.
8. Chimney flues and fireplaces must have tightfitting dampers.
9. Central air conditioning systems installed after June 1, 1993 must have a Seasonal Energy Efficiency Ratio (SEER) of 11 or more (10.5 SEER or more for package systems).

Alternate Equivalent Performance Standard: Variations may be made in the Insulation Standards as long as total heat loss does not exceed that calculated using the specific Standards above. Duct or pipe losses shall be included in the computation of total heat losses. Duke Power's procedure for calculating heat loss or the current edition of ASHRAE (American Society of Heating, Refrigerating, and Air Conditioning Engineers) Guide shall be the source for heat loss calculations.

CATEGORY 4 is available for residences which meet the requirements of both Categories 2 and 3 above.

Billing of service under Categories 2, 3, or 4 will begin after the Customer has notified the Company that the rate category qualifications have been met and the Company has inspected the premises for compliance with the provisions of the applicable category. The Company at all reasonable times shall have the right to periodically inspect the premises of the Customer for compliance with the requirements, subsequent to the initial inspection.

APPROVED FUEL CHARGE ADJUSTMENTS

The Company's approved fuel charge adjustments, if any, pursuant to North Carolina General Statute 62-133.2, will apply to all service supplied under this Schedule. The currently approved adjustment is included in the Rate above.

PAYMENT

Bills under the Schedule are due and payable on the date of the bill at the office of the Company. Bills are past due and delinquent on the twenty-fifth day after the date of the bill. In addition, all bills not paid by the twenty-fifth day after the date of the bill shall be subject to a one percent (1%) late payment charge on the unpaid amount. This late payment charge shall be rendered on the following month's bill and it shall become part of and be due and payable with the bill on which it is rendered.

CONTRACT PERIOD

The original term of this contract shall be one year, and thereafter until terminated by either party on thirty days' written notice.